AI PRODUCT MANAGEMENT 2 · DETAILED COURSE

Business, Finance and Product Commercialisation

How products make money and how a PM builds a financial case, sets price and takes the product to market.

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CHAPTER 09

Business, Finance and Product Commercialisation

How products make money and how a PM builds a financial case, sets price and takes the product to market.

Business Fundamentals

Revenue, cost, profit, cash flow, margins and how value flows through a company.

A business earns revenue and pays costs to make profit. Cash flow timing matters as much as profit, because a growing business can still run out of cash. Product decisions change revenue, cost and cash, so PMs need this vocabulary.

Business Model Canvas

Nine blocks describing customers, value, channels, revenue, resources, activities, partners and costs.

The canvas has nine blocks: customer segments, value propositions, channels, customer relationships, revenue streams, key resources, key activities, key partners and cost structure. It helps check that the parts of a business fit together.

Revenue Models

Subscription, transaction fee, advertising, licensing, usage-based, marketplace commission and services.

Common models include subscription, transaction fee, advertising, licensing, usage-based pricing, marketplace commission and services. Each model shapes what the product should optimise for.

Subscription Business Models

Recurring fees for continued access, optimising retention, expansion and predictable revenue.

Customers pay a recurring fee for continued access. Revenue is predictable, but retention becomes the main lever. Improving onboarding and value delivery matters as much as acquisition.

Freemium Models

A free tier drives adoption and conversion to paid; works when marginal cost is low and upgrade triggers are clear.

A free tier drives adoption and conversion to paid plans. It works when the cost of serving free users is low and the upgrade trigger is clear, such as a limit that users hit when they are already getting value.

Usage-Based Pricing

Customers pay according to consumption, aligning price with value but making revenue less predictable.

Customers pay according to consumption, such as API calls or messages sent. The price matches value, but revenue is less predictable, so forecasting and customer budgets need extra attention.

Product Pricing Strategy

Setting price using cost, competitors and value to the customer, with packaging and tiers that fit segments.

Pricing uses cost, competitor prices and the value to the customer. Packaging into tiers fits different segments. Test price changes on new customers first, because changing prices for existing customers creates churn risk.

Monetisation Strategies

The mechanisms by which a product earns revenue and when in the user journey they appear.

These are the mechanisms by which a product earns money and when in the journey they appear. A paywall shown before any value is delivered often reduces activation.

Financial Modelling

A spreadsheet model of revenue, costs and cash under stated assumptions, with scenarios.

A financial model is a spreadsheet of revenue, costs and cash under stated assumptions. Build best, base and worst scenarios and state which assumptions matter most, so the model supports decisions rather than hiding risk.

Unit Economics

Profit or loss per unit (customer or transaction) after variable costs, such as CAC, LTV and payback period.

Unit economics measures profit or loss per customer or transaction after variable costs. Key measures are CAC, LTV and payback period. Healthy unit economics mean each customer pays back acquisition cost within an acceptable time.

ROI and ROE

Return on investment is gain relative to cost; return on equity is net income relative to shareholder equity.

ROI is the gain from an investment divided by its cost. ROE is net income divided by shareholder equity. For product work, ROI is the more common tool to compare investment options.

Cost-Benefit Analysis

Comparing total expected costs and benefits, in money terms, to decide.

This compares total expected costs and benefits in money terms, including time saved and risk reduced. Quantify benefits conservatively and show the assumptions, so the comparison is credible.

Break-Even Analysis

The volume at which revenue equals total cost; fixed cost divided by contribution margin per unit.

Break-even is the volume at which revenue equals total cost. It equals fixed costs divided by contribution margin per unit. It shows how many customers a new product must win to stop losing money.

Profitability Analysis

Assessing margins by product, segment or channel to see where money is made.

Profitability analysis looks at margins by product, segment or channel to see where money is made or lost. A profitable product line can hide an unprofitable segment that drives support costs.

Business Case Development

A structured argument for an investment: problem, options, costs, benefits, risks and recommendation.

A business case argues for an investment: problem, options, costs, benefits, risks and a recommendation. Lead with the decision requested. Include the cost of doing nothing.

Budget Planning

Allocating funds to teams and initiatives, tracking against plan and forecasting.

Budget planning allocates funds to teams and initiatives, tracks spending against plan and forecasts the rest of the year. Keep a reserve for unexpected work, such as an urgent compliance change.

Go-to-Market Strategy

Who you sell to, with what message and price, through which channels, and how you measure launch.

The GTM strategy defines who the product is for, the message, the price, the channels and how success will be measured after launch. It connects product decisions with sales and marketing.

Product Launch Strategy

A staged plan for readiness, beta, announcement, enablement and post-launch monitoring.

A launch plan covers readiness checks, a beta with selected users, announcement, sales enablement, support preparation and post-launch monitoring. The launch date should follow the readiness checklist, not the other way round.

Product Adoption

Moving customers from awareness to trial to regular use through onboarding and value moments.

Adoption moves customers from awareness to trial to regular use. Onboarding, first success and reminders at the right moments drive adoption more than announcements.

Customer Acquisition

Channels and tactics to attract customers efficiently: content, paid, partners, sales and referrals.

Acquisition channels include content, paid media, partners, sales and referrals. Compare channels by cost, quality of customers and payback. A channel that brings many customers who never activate is expensive.

Customer Retention Strategy

Keeping customers through onboarding, ongoing value, support, community and proactive outreach.

Retention comes from onboarding, ongoing value, support, community and proactive outreach to users who show declining engagement. Retention improvements often pay back faster than new acquisition.

Product Growth Strategy

Loops and levers across acquisition, activation, retention, revenue and referral.

Growth strategy identifies loops and levers across acquisition, activation, retention, revenue and referral. Choose the lever with the largest gap in the funnel and test changes against it.

Product-Led Sales

Using product usage signals to identify and convert qualified accounts, blending self-serve with sales.

Product usage signals identify accounts ready to buy. Sales then engages those accounts with context from the product. It blends self-serve adoption with human sales for larger deals.

Enterprise Product Commercialisation

Selling to large organisations: security reviews, procurement, pilots, integration and long sales cycles.

Selling to large organisations involves security reviews, procurement, pilots, integration and long sales cycles. Plan these steps into the product roadmap, such as single sign-on and audit logs, because they often decide the deal.

Summary of terms

Term	Meaning
Business Fundamentals	Revenue, cost, profit, cash flow, margins and how value flows through a company.
Business Model Canvas	Nine blocks describing customers, value, channels, revenue, resources, activities, partners and costs.
Revenue Models	Subscription, transaction fee, advertising, licensing, usage-based, marketplace commission and services.
Subscription Business Models	Recurring fees for continued access, optimising retention, expansion and predictable revenue.
Freemium Models	A free tier drives adoption and conversion to paid; works when marginal cost is low and upgrade triggers are clear.
Usage-Based Pricing	Customers pay according to consumption, aligning price with value but making revenue less predictable.
Product Pricing Strategy	Setting price using cost, competitors and value to the customer, with packaging and tiers that fit segments.

Monetisation Strategies	The mechanisms by which a product earns revenue and when in the user journey they appear.
Financial Modelling	A spreadsheet model of revenue, costs and cash under stated assumptions, with scenarios.
Unit Economics	Profit or loss per unit (customer or transaction) after variable costs, such as CAC, LTV and payback period.
ROI and ROE	Return on investment is gain relative to cost; return on equity is net income relative to shareholder equity.
Cost-Benefit Analysis	Comparing total expected costs and benefits, in money terms, to decide.
Break-Even Analysis	The volume at which revenue equals total cost; fixed cost divided by contribution margin per unit.
Profitability Analysis	Assessing margins by product, segment or channel to see where money is made.
Business Case Development	A structured argument for an investment: problem, options, costs, benefits, risks and recommendation.
Budget Planning	Allocating funds to teams and initiatives, tracking against plan and forecasting.
Go-to-Market Strategy	Who you sell to, with what message and price, through which channels, and how you measure launch.
Product Launch Strategy	A staged plan for readiness, beta, announcement, enablement and post-launch monitoring.
Product Adoption	Moving customers from awareness to trial to regular use through onboarding and value moments.
Customer Acquisition	Channels and tactics to attract customers efficiently: content, paid, partners, sales and referrals.
Customer Retention Strategy	Keeping customers through onboarding, ongoing value, support, community and proactive outreach.
Product Growth Strategy	Loops and levers across acquisition, activation, retention, revenue and referral.
Product-Led Sales	Using product usage signals to identify and convert qualified accounts, blending self-serve with sales.
Enterprise Product Commercialisation	Selling to large organisations: security reviews, procurement, pilots, integration and long sales cycles.

Practice exercise: Build a small model of revenue, CAC, LTV and payback for a subscription product with best, base and worst cases.

Self-check

1. Explain Business Fundamentals in two sentences to a non-technical stakeholder, then say what you would measure for it.
2. Explain Break-Even Analysis in two sentences to a non-technical stakeholder, then say what you would measure for it.
3. Explain Enterprise Product Commercialisation in two sentences to a non-technical stakeholder, then say what you would measure for it.

Related SkillNavora material

- AI Product Management (original programme): The programme you already have: PM Master Handbook, PRD and BRD templates, interview prep.
- Interactive PM Handbook: 23 modules: product core, AI tools lab, frameworks, case studies and interview prep.
- AI Tutor: Ask questions on any topic.
- Study Library: Every lesson, class and PDF by programme.

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